Quarterly Operations Review

Revenue for the third quarter reached $4.2 million, up 12% compared with the same period last year. Gross margin improved to 41.5%, driven by higher utilisation of the support team and a lower cost of hardware.

Two new framework agreements were signed in September, with delivery scheduled between October 15 and December 20. Headcount grew from 58 to 63 employees; attrition remained below 5% on a rolling twelve-month basis.

Key risks include supplier lead times, currency exposure on imported equipment, and the pending renewal of the main data-centre lease.

The network upgrade programme remains on schedule for completion in the first quarter. Fibre links between the three main buildings were commissioned on October 2, and the legacy switches will be retired after a two-week overlap.

Spending to date is $286,400 against a budget of $540,000. The only significant variance concerns cabling labour, which ran 9% above estimate because of asbestos checks in the older wing.